

popularity of exchange-traded funds (ETFs) distorts the market. ETFs are essentially ready-made baskets of securities that you buy like a stock. There are real estate ETFs, oil-stock ETFs, gold-stock ETFs, and so on. As people pile into an ETF, that ETF has to go out and replicate its set portfolio — regardless of what the prices of the stocks are.

The people who make these ETFs like to put big, liquid stocks in them.

These are easy to buy and sell. The problem is that companies controlled by insiders — thanks to their large stakes — tend not be as liquid as their peers.

Thus, the ETFs bypass such companies or give them a low weighting.

As result, Doyle said, “We’re finding these owner-operators ... are being priced well below the marketplace, yet ... they have returns on capital far in excess of the S&P 500 index or any other index you might be looking at.”

It’s really an incredible opportunity for the stock picker. You get the better businesses at cheaper prices. Doyle went through a great example to show how dysfunctional things are: Simon Properties.

It’s the biggest real estate mall operator in the United States. The stock had gone straight up. It was \$26 per share in March 2009. It was \$158 per share when Doyle spoke in 2014. The stock yielded 2.9 percent.

It traded at more than 30 times earnings.

And the Simon family? They were sellers.

The family dumped over \$1 billion worth of stock on the market, which helped the float (or liquidity) of the stock. It was already a big ETF holding. It became an even-bigger ETF holding.

So you have a situation where the stock is expensive and insiders are selling but ETFs are mindlessly buying more. There were other property companies owned by insiders that traded for half (or less) the valuation of Simon with twice the yield. “But because there’s not a lot of ‘free float,’

they’re being neglected,” Doyle said. “Those are the types of securities that we’re looking at and trying to include in most of our funds.”

In today’s weird marketplace, the presence of owner-operators can